

PPT-EZ-CA-0001

312 Spring Commons

MASTER RISK FACTORS & DISCLOSURE SCHEDULE

Consolidated project, conveyance, capital, tax-credit, operating, technology and benchmark risks for institutional review

v0.2 • September 17, 2026

WORKING DRAFT / COUNSEL REVIEW / PROGRAMMED ASSUMPTIONS

This document is a working draft for discussion, diligence and counsel review. It does not constitute a final offering, binding subscription, legal opinion, tax opinion, governmental approval, guarantee of financing, guarantee of tax benefits, guarantee of title transfer, or guarantee of project performance. Programmed benchmarks are design objectives to be measured project by project, not achieved results or forecasts.

Document code: DOC-15

1. Purpose

This schedule consolidates material risks currently identifiable from the project concept and diligence record. It is designed to be incorporated by reference into investor, funder, government, development and operating documents as appropriate. It is not exhaustive and must be updated as the transaction, public grantee, property diligence, capital stack and offering terms become known.

RISK STANDARD

A public-benefit purpose, government involvement, Historic Surplus pathway, tax incentive, M5/TitleChain record or programmed benchmark does not eliminate risk. The project can fail, be delayed, cost more than expected, lose financing, fail to qualify for tax benefits, or never close.

Project Status Legend

Item	Status	Meaning
312 N. Spring asset / federal disposition context	VERIFIED BASIS	Supported by the current project feasibility record; status remains subject to agency updates.
Historic Surplus pathway	DILIGENCE / TARGET PATH	Strongest apparent route in project research; current availability must be confirmed with GSA/NPS.
Public Grantee	TBD	City, County or qualifying public instrumentality has not yet been selected/approved.
People's Public Trust / PPT-EZ-CA-0001	PROJECT DESIGNATION	Proposed project/governance nomenclature; not an official California economic-zone designation.
~\$153M capital-maintenance reference	REFERENCE ONLY	GSA-reported capital-maintenance figure; not yet an independently validated rehabilitation budget.
\$200M-\$240M capitalization envelope	PROGRAMMED ASSUMPTION	Working planning range pending property, engineering and financing diligence.
TitleChain/M5 title-state process	PROPOSED IMPLEMENTATION	Parallel evidence/title-state record; official deed/registry remains legally authoritative.
Efficiency/cost targets	PROGRAMMED BENCHMARKS	Goals to test and rank project performance; not achieved results.

2. Risk Rating Method

The internal status labels below are project-management tools, not investment ratings or credit ratings. They indicate where diligence effort is presently concentrated.

Label	Meaning
CRITICAL	Could prevent conveyance/closing or materially impair the project if unresolved.
HIGH	Material financial/legal/operating exposure requiring active mitigation.
MODERATE	Meaningful but generally manageable with normal diligence/controls.
MONITOR	Known issue to track; may become material as facts develop.

3. Master Risk Register

Risk	Level	Exposure	Current mitigation / workstream
Federal disposition pathway	CRITICAL	Historic Monument PBC availability/timing is not confirmed; GSA may advance another disposition route.	Immediate GSA/NPS confirmation; maintain negotiated/public-sale fallback analysis.
Public grantee	CRITICAL	No City/County/qualifying instrumentality has yet agreed to receive title and accept federal covenants.	Secure eligible sponsor; legal authority/resolution analysis.
Government approvals	CRITICAL	Conveyance, preservation/use plan, lease and public actions may require multiple approvals and can be denied or delayed.	Authority matrix, closing conditions, schedule buffers.
Federal deed / reversion	HIGH	Historic/public-use restrictions and reversion rights can limit flexibility and create default/reversion exposure.	Negotiate/understand deed terms; M5Canon restriction monitoring; compliance plan.
Property occupancy / relocation	HIGH	Existing federal/local occupancy and relocation timing may delay possession and rehabilitation.	Obtain tenant roster/agreements and binding transition plan.
Title / survey / easements	HIGH	Retained federal rights, easements, access, boundary or title exceptions may impair use/financing.	Federal title package, survey, title counsel/insurer review.
Historic restrictions	HIGH	Landmark protections may limit alterations, uses, materials, signage, systems and revenue strategies.	Early NPS/preservation review and compliant design.
Capital-maintenance figure	CRITICAL	Nearly \$153M is a reported federal liability reference, not an independently validated rehabilitation budget.	Obtain underlying schedule; independent condition assessment and cost estimate.
Construction cost / escalation	HIGH	Historic rehab may reveal concealed conditions, inflation and scope growth.	Contingency, GMP/contract strategy, independent cost control, change-order gates.
Seismic / structural	HIGH	Unknown structural/seismic work could materially increase cost/schedule.	Detailed engineering and code analysis.
Environmental / hazardous materials	HIGH	Asbestos, lead, contamination or other conditions may create cost, delay or liability.	Phase I/II as appropriate, hazmat survey, allocation/insurance.
MEP / life-safety / accessibility	HIGH	Aging systems and code transition may require major replacement.	Full system surveys and phased capital plan.
Operating model	HIGH	751k+ SF historic asset may not generate sufficient revenue to sustain operations/preservation.	Phased activation, tenant strategy, conservative budget/reserves.
Fundraising / capital gap	CRITICAL	Target capital may not be raised on acceptable terms.	Multiple capital sources, staged commitments, fallback scope/phasing.
Cost of money	HIGH	Rates, fees, reserves and illiquidity may make financing uneconomic.	Benchmark all-in cost, risk reduction, public/philanthropic/tax-credit blending.
HTC eligibility / QRE	HIGH	Project costs may not qualify as QRE; structure/timing may fail credit requirements.	HTC counsel/consultant, Part 1/2/3 process as applicable, separate QRE budget.
HTC investor pricing / recapture	HIGH	Credit pricing, compliance and recapture economics may differ materially from assumptions.	Investor term sheet, tax indemnity, compliance monitoring.
NMTC eligibility / allocation	HIGH	Census tract/QALICB/CDE/allocation or timing may not qualify.	Eligibility memo, CDE outreach, do not count funds until committed.
Philanthropic restrictions	MODERATE	Grant/PRI restrictions may conflict with investor economics or private-benefit rules.	Segregated uses/accounts and tax counsel review.

Risk	Level	Exposure	Current mitigation / workstream
Securities-law risk	HIGH	Investment, token, co-op or revenue interests may be securities and require compliant offering/transfer.	Securities counsel, clear instrument separation, transfer controls.
Worker/co-op structure	HIGH	Sweat-equity/patronage concepts may trigger wage, tax, securities or employee classification issues.	Separate wage compensation; cooperative/labor/tax counsel.
Community distributions	HIGH	Historic Surplus income restrictions may prevent direct resident dividends from this asset.	Separate lawful public-purpose/reinvestment architecture; do not promise cash dividends.
Public-use revenue limits	HIGH	Revenue-producing uses may require NPS/public-owner approval and remain subordinate to preservation/public benefit.	Use-by-use approval and financial plan.
Liquidity / transfer restrictions	HIGH	Private securities may be highly illiquid and may lack a resale market.	Prominent disclosure; transfer restrictions; no liquidity promise.
Valuation	HIGH	Working market/capital estimates may not reflect actual restricted-value economics.	Independent appraisal/valuation once deed/use restrictions known.
Insurance / bonding	MODERATE	Historic, construction, environmental and public-use risks may reduce coverage or increase premiums.	Broker/underwriter diligence early.
Counterparty / contractor	MODERATE	Developer, contractor, tenant or operator may default or underperform.	Qualification, bonding, guarantees where appropriate, replacement rights.
Governance / conflicts	HIGH	Sponsor, operator, technology provider, workers, funders and public owner may have competing incentives.	Conflict policy, related-party disclosure, independent approvals.
TitleChain/M5 legal effect	HIGH	Digital title-state record does not itself replace statutory deed/registry or create rights.	Explicit hierarchy; reconcile to authoritative public records.
Technology / cyber	HIGH	Wallet, credential, software, key, integration or cyber failures could impair records/workflows.	Security architecture, backups, key recovery, incident response, independent audit.
AI decision error	HIGH	Jev/LLM outputs can be wrong; deterministic rules can also be coded incorrectly.	Human authority gates, testing, source validation, versioned policies.
Smart-contract automation	HIGH	Automated fund/rights actions can misfire or conflict with law/contracts.	No autonomous legally required approvals; regulated financial execution.
Patent / IP	MODERATE	Patent scope, licensing and third-party IP issues may affect implementation.	Patent/IP counsel, documented licenses and open-source compliance.
Privacy / public records	HIGH	Public transparency goals may conflict with PII, privilege, security and confidentiality.	Data classification, minimum disclosure, private evidence layer.
Benchmark assumptions	HIGH	12 → 2 months, 14k → 3k hours and cost savings may not be achieved or comparable.	Define baseline/methodology; publish actual variance; no guarantee.
Cost-savings attribution	HIGH	Observed savings may arise from project differences rather than M5 architecture.	Matched categories, third-party review, transparent methodology.
Regulatory/policy change	MODERATE	Federal/state/local laws, tax credits and agency policies may change.	Ongoing counsel/agency monitoring and adaptable documents.
Force majeure / disaster	MODERATE	Earthquake, fire, climate/weather, labor interruption or other events may delay/cost project.	Insurance, emergency/resilience planning, contingency.
Reputation / community acceptance	MODERATE	Public opposition or unmet expectations could delay approvals or operations.	Transparent engagement, accurate claims, grievance process.

Risk	Level	Exposure	Current mitigation / workstream
No transaction closing	CRITICAL	The project may never acquire/operate the asset and capital commitments may expire.	Stage funding; clear termination/return provisions; fallback strategy.

4. Offering / Investor-Specific Risks

- loss of all invested capital;
- no guaranteed distribution, yield, redemption, refinancing or exit;
- dilution or additional financing;
- subordination and intercreditor risk;
- capital calls or delayed closings depending on instrument;
- fees/expenses reducing returns;
- conflicts among sponsor, public owner, tax-credit investors, lenders and community structures;
- tax treatment differing from expectations;
- absence of a public trading market.

5. Public-Conveyance / Government Risk

The project depends on actions by government agencies and a future public grantee. No private agreement can compel GSA, NPS, a City/County, recorder, permitting authority or other governmental body to approve the project. Governmental timelines may differ materially from programmed efficiency targets.

6. Title-State / Token Disclosure

The project would like to use the TitleChain/M5 protocol process to register and reconcile the state of title and related rights. The digital title-state representation is intended to show, transparently, who the authoritative record identifies as titleholder, the jurisdiction, deed/instrument reference, restrictions and state transitions. It is not the deed, does not override a county/federal/state registry, and must not display a proposed transferee as legal owner before the authoritative conveyance/recording threshold is met.

7. Benchmark Risk and Portfolio Ranking

PPT projects are intended to be ranked against a common operational benchmark framework so later projects can compare transaction time, human coordination, friction cost, cost of money, system duplication, public-asset protection, local participation and transparency. The ranking is an internal/public performance benchmark, not a credit rating, securities rating or prediction of investment returns.

Programmed Benchmark Objectives

These are baseline assumptions deliberately programmed as project performance goals. They are intended to be measured transaction by transaction, compared against actual outcomes and updated as the PPT portfolio grows. They are not historical results, guaranteed savings or investor-return projections.

Metric	Working baseline	Programmed target	Measurement
End-to-end transaction timeline	12-month legacy comparison	2-month target where legally/process-feasible	Days from defined start gate to defined closing/activation gate
Human coordination labor	14,000-hour working baseline	3,000-hour target	Time logs by role and workstream
Administrative labor cost	\$2.10M baseline	\$0.45M target	Actual invoices/payroll attributable to transaction coordination
Escrow & title friction	\$1.1475M baseline	\$0.459M target	Actual third-party fees; legally required services remain
Compliance/audit friction	\$0.45M baseline	\$0.15M target	Actual audit/compliance coordination cost

Metric	Working baseline	Programmed target	Measurement
Holding/time-drag cost	\$8.25M baseline	\$1.375M target	Measured carrying cost over actual elapsed period
Total modeled friction	\$11.9475M baseline	\$2.434M target	Actual verified transaction overhead
Potential modeled reduction	\$9.5135M target delta	Target only	Difference only after comparable categories are verified
Cost of money	TBD comparable project rate	Lower all-in effective cost where risk/structure allow	Spread, fees, reserves, effective annualized cost
Third-party duplication	TBD baseline mapping	Minimize duplicated systems/context transfer	Vendor count, connectors, model calls, reconciliations

9. Required Risk Updates Before Capital Closing

1. GSA/NPS status update;
2. public-grantee legal authorization;
3. title/survey/easement report;
4. tenant/possession plan;
5. facility-condition and \$153M source schedule;
6. environmental/seismic/MEP/life-safety reports;
7. independent project budget and schedule;
8. final financing sources/uses;
9. HTC/NMTC eligibility opinions/term sheets;
10. insurance/bonding;
11. final operating model;
12. final securities/tax structure;
13. technology security and records-control review.

10. Acknowledgment

Recipients of project materials should review this schedule together with the current project status legend and definitive documents. Risk factors may overlap and may have compounding effects. No omission from this draft should be interpreted as a determination that a risk is immaterial.

Selected Source Basis and Diligence Notes

- 312 N. Spring Street Acquisition Feasibility Brief, September 16, 2026: project status, accelerated-disposition context, public-grantee structure, diligence list, occupancy and ~\$153M capital-maintenance reference.
- National Park Service Historic Surplus Property Program materials: qualifying governmental recipients, preservation/use obligations and potential long-term private/nonprofit operating leases subject to approval.
- IRS rehabilitation-credit guidance: federal rehabilitation credit based on qualified rehabilitation expenditures; investor/lease/partnership economics require tax counsel and final facts.
- CDFI Fund New Markets Tax Credit Program materials: CDE/QEI/QALICB structure and 39% investor credit over seven years; tract/project/CDE allocation eligibility remains TBD.
- U.S. Patent Nos. 11,720,888 and 12,518,273, “Decentralized title transfer and validation of assets”: source basis for the project’s proposed TitleChain/M5 title-state methods; claim applicability and implementation remain subject to patent/transaction counsel.
- PPT-EZ-CA-0001 draft documents 01-10, September 17, 2026: master term sheet, conditional commitment, public-grantee MOU, lease term sheet, investor brief, escrow/draw, development, HTC, NMTC and TitleChain evidence schedule.
- This risk schedule should be refreshed at each material gate and immediately before circulation of any final offering memorandum or binding capital agreement.

M5Canon v0.2 Updates

Additional M5Canon Risk Factors

- Entity-formation risk: a smart contract, wallet or namespace does not by itself form or qualify a legal entity.
- California filing risk: Form LP-1 is a limited-partnership certificate, not the filing used to establish an unincorporated association; applicable entity filings must be confirmed with California counsel and the Secretary of State.
- CER/underlying-right risk: control of a CER does not automatically establish ownership of the underlying real property or leasehold beyond the authoritative instrument.
- UCC-1 risk: financing statements perfect security interests; misuse as a generic title registry can create false or ineffective records.
- Notice/service risk: an M5-DPC delivery receipt is evidence of electronic delivery, but may not constitute legal service of process unless applicable law recognizes that method.
- Credential/oracle risk: compromised, expired or unauthorized credentials and bad oracle data can create incorrect states; material execution must fail closed and route to review.
- Code/legal divergence risk: executable policy can drift from the signed Ricardian/legal text; signed legal text and authoritative instruments control until reconciled.
- Privacy risk: selective disclosure and zero-knowledge methods reduce exposure but do not guarantee absolute privacy or zero security risk.

M5Canon v0.2 Conformance and Authority Hierarchy

This document is governed by the M5Canon authority hierarchy for PPT-EZ-CA-0001. An authoritative legal act, executed instrument, government record or legally authorized person or institution establishes the legal right or status. A Ricardian contract expresses the authorized right in human-readable and machine-readable form. Deterministic code may validate, constrain, route and enforce only authority already granted. Jev, language models and other probabilistic systems may classify, score, explain and route, but they do not create legal authority. TitleChain records provenance, state, restrictions, authority and receipts. If digital state conflicts with authoritative legal evidence, execution must halt and route to reconciliation and authorized human review.

Clean Document-Control Status

Document control: human-controlled project draft assembled from project source material and reviewed under M5Canon document-control rules. No embedded generative media, comments, tracked changes, hidden prompts, content-control tags or authoring metadata are intended to be present.